

AC2100 Marking Scheme

International Financial Reporting 1 · Winter 2022 · Paper 1

Examination Session and Year	Winter 2022
Module Code	AC2100
Module Title	International Financial Reporting 1
Paper Number	Paper 1
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Internal Examiners	Ms. Eimear McGeown
Duration of Paper	1.5 hours
Special Requirements	All workings must be shown clearly. The use of a non-programmable calculator is permitted.

Instructions to Candidates (as per exam paper): Students MUST answer Question 1 in Section A, and answer ONE other question from Section B.

Own-figure rule: where a candidate makes an error at an early stage of a multi-step numerical question, full method marks are awarded for correctly applying the required technique to their own (incorrect) figure in all subsequent steps. Marks are never cascaded away for a single early error.

Marking philosophy: this is a closed-book, time-pressured examination. Academic citations are never required. Discursive answers are marked on depth of explanation and application to the specific scenario, not generic textbook recall.

Question Overview

Question	Scenario	Topics	Marks
Q1 (compulsory)	Wolf Plc	Post year-end adjusting/non-adjusting events, IAS 8, IAS 10, IAS 20, IAS 37, IAS 38, IAS 40, redraft of financial statements, IAS 37 theory	60
Q2 (Section B option)	Angus Plc	IAS 16 revaluation model, IAS 40 investment property, accounting policy change theory	40
Q3 (Section B option)	Hereford Ltd & Galloway Plc	IAS 36 impairment with individual asset fair-value floor, IAS 23 borrowing costs	40

QUESTION 1**Wolf Plc**

Total: 60 marks

Wolf Plc drafted its accounts for the year ended 31 December 2X22 showing Total Assets of €17,300,000 and Total Equity & Liabilities of €17,300,000 (figures presented in €000s). Eleven pieces of new information (a)–(k), all material, are provided for consideration before the directors approve the accounts. Candidates are required to (i) explain the correct treatment of each item, including journal entries where relevant, (ii) redraft the summarised financial statements, and (iii) briefly discuss the need for IAS 37.

Part	Requirement	Marks
(i)	Explain treatment of items (a)–(k), with journal entries where relevant	40
(ii)	Redraft summarised financial statements in tabular format	12
(iii)	Briefly discuss the need for IAS 37 Provisions, Contingent Liabilities and Contingent Assets	8

Question 1(i)**40 marks**

Wolf Plc provisionally drew up its accounts for the year ending 31 December 2X22. Eleven items of new material information (a)–(k) are to be considered before the directors approve the accounts. It should be assumed that no entry has been made in relation to outstanding items below, unless specifically stated otherwise, and that all items are material. Briefly explain how each of the above events should be dealt with in Wolf Plc's financial statements for the year ended 31 December 2X22. Include journal entries where relevant. You may assume that all events above are material and ignore taxation.

Full Model Answer**(a) Proposed dividend – 2 cent per share on 8 million shares, proposed by directors 21 December 2X22**

A dividend proposed by the directors is not a liability of the company until it has been formally approved by shareholders (typically at the AGM). Although the directors' proposal was made before the year end (21 December 2X22), shareholder approval was not obtained until the forthcoming AGM — that is, **after** the reporting date. Because no present obligation to a third party exists until shareholder approval is obtained, **no liability is recognised** at 31 December 2X22, regardless of the fact the directors' proposal itself pre-dates the year end. The proposed dividend of €160,000 (8,000,000 shares × 2 cent) is disclosed by way of note only.

Key distinction: This differs from a dividend that has already been formally declared/approved by shareholders before the year end, which would be recognised as a liability. Here, only the directors' proposal exists at the reporting date; the approving body (shareholders) has not yet acted.

(b) Correction of cash sale error – understated by €180,000

A cash sale of €200,000 was recorded as €20,000, an error of €180,000 (€200,000 – €20,000). This is a prior period error under IAS 8, discovered before the accounts are approved and relating to the current year, so it is corrected within the current year figures.

Journal – correct sale recorded in error (€000s)

Account	Dr	Cr
Current assets (bank/cash)		180
Retained earnings (revenue)		180

(c) Customer bankruptcy – €80,000 written off

The customer owed €100,000 at the year end. Notification of bankruptcy was received 1 February 2X23, with €80,000 still due and no payment expected from the bankruptcy proceedings. This provides evidence of the recoverability of the receivable that existed at the reporting date and is therefore an **adjusting event** under IAS 10. The remaining balance of €80,000 is written off as irrecoverable.

Journal – irrecoverable debt write-off (€000s)

Account	Dr	Cr
Retained earnings (bad debt expense)		80
Current assets (trade receivables)		80

Own-figure note: The €20,000 difference between the €100,000 owed at year end and the €80,000 still due on 1 February confirms partial recovery; only the irrecoverable €80,000 balance is written off. Candidates who write off the full €100,000 with clear, consistent reasoning receive own-figure credit.

(d) Takeover bid made 19 February 2X21

This bid was made almost two years before the current reporting date of 31 December 2X22, and well before the start of the financial year under review. It does not fall within the period between the reporting date and the date the financial statements are authorised for issue, and is therefore **not a subsequent event** for the year ended 31 December 2X22 at all. **No adjustment or disclosure is required** in relation to this item in the current year's financial statements.

Examiner's point: This item tests whether candidates can correctly identify that not every historic transaction mentioned in a question is relevant to the year under audit — the date here places it well outside the subsequent events window for this reporting period.

Full Model Answer (continued)**(e)(I) Property A - carrying value €1,500,000, sold 4 January 2X23 for €1,300,000**

Property A is carried under the IAS 16 revaluation model, so its carrying amount of €1,500,000 at 31 December 2X22 already reflected fair value at that date. A sale a few days later at €1,300,000 reflects a change in market conditions *after* the reporting date, not a condition that existed at 31 December 2X22. This is a **non-adjusting event** under IAS 10. No adjustment is made to the 2X22 figures; the sale and resulting loss are disclosed by way of note as a material non-adjusting subsequent event.

(e)(II) Land B - fair value gain of €50,000

Land B, held for capital appreciation rather than used in the business, is an investment property under IAS 40 and is correctly accounted for using the fair value model. Under the fair value model, the asset is remeasured to fair value at each year end with the **full gain or loss recognised in profit or loss**. Land B was included at €550,000 (its fair value on initial recognition, 1 January 2X22) and had not yet been revalued to its 31 December 2X22 fair value of €600,000.

Journal - Land B fair value gain (€000s)

Account	Dr	Cr
Non-current assets (investment property)		50
Retained earnings (fair value gain, P&L)		50

(f) Legal proceedings (unfair dismissal) - provision of €129,000

The underlying event (the alleged unfair dismissal) occurred on 1 April 2X22, before the year end, giving rise to a possible present obligation as a result of a past event. Although formal notice of the legal proceedings was only received 17 January 2X23, this is evidence of a condition (the obligation arising from the dismissal) that existed at the reporting date, so this is an **adjusting event** under IAS 10. Legal advice indicates it is highly likely (probable) that a payment will be required, and the amount can be reliably estimated, so all three IAS 37 recognition criteria are met. As three distinct possible outcomes and probabilities are given, the best estimate is calculated using the **expected value** method:

Working - expected value of legal provision

Probability	Payment (€)	Expected value (€)
0.20	80,000	16,000
0.75	140,000	105,000
0.05	160,000	8,000
Total		129,000

Journal - recognise legal provision (€000s)

Account	Dr	Cr
Retained earnings (legal expense)		129
Non-current liabilities (provision)		129

Judgement note: Since the probabilities given sum to exactly 1.00 and represent the full population of possible outcomes, the expected value method is applied. Candidates who instead select the single most likely outcome (€140,000, at 0.75 probability) as their best estimate, with clear reasoning, receive own-figure credit provided the treatment is applied consistently in part (ii). The provision is classified as non-current as payment is expected by November 2X23, more than a year from a typical year-end reporting/approval cycle is not strictly required here — candidates classifying it as current with sound reasoning (payment due within 12 months of the year end) also receive full own-figure credit.

(g) Provision for anticipated future sales decline - €150,000 reversed

Under IAS 37, a provision can only be recognised where there is a **present obligation** arising from a past obligating event. An expectation that sales will decline further next year because of the ongoing effects of the pandemic is not a past obligating event — it reflects an expectation about future trading conditions, not an existing obligation to any third party. This is a provision for anticipated future operating losses, which IAS 37 explicitly prohibits. The incorrectly recognised provision of €150,000 must be **reversed in full**.

Journal - reverse anticipated sales decline provision (€000s)

Account	Dr	Cr
Current liabilities (provision)		150
Retained earnings		150

Full Model Answer (continued)**(h) Research expenditure - €200,000**

Under IAS 38, expenditure on the *research* phase of an internal project can never be capitalised, regardless of expected future benefit, because at the research stage an entity cannot demonstrate that a resulting intangible asset exists that will generate probable future economic benefits. Whether or not it has been amortised is irrelevant — it should never have been recognised as an asset in the first place. The €200,000 must be written off to profit or loss in full.

Journal - write off research costs (€000s)

Account	Dr	Cr
Retained earnings (P&L expense)		200
Non-current assets (intangibles)		200

(i) COVID-19 Wage Subsidy grant - €130,000

Under IAS 20, a grant that compensates the entity for expenses already incurred (a wage subsidy covering staff costs already paid from January to June 2X22), with all conditions attached to the grant already satisfied, is recognised as income immediately under the income approach, matched to the period in which the related costs are recognised — it should not be deferred as a liability. The company's own draft entry (debiting Bank and crediting Deferred Income for €230,000) is incorrect in two respects: the amount recorded (€230,000) does not match the €130,000 actually received, and a deferred income liability is not the appropriate treatment once all conditions have been met.

Journal - correct recognition of grant income (€000s)

Account	Dr	Cr
Current assets (bank)		130
Retained earnings (grant income, P&L)		130

Judgement note: The draft entry recorded by the company is not carried forward as posted. Candidates who instead correct the company's draft entry from its recorded €230,000 deferred-income starting point (i.e. debit Deferred Income €230,000; credit Bank €100,000; credit Retained Earnings €130,000) arrive at an identical net effect on each figure in the redraft and receive full credit.

(j) Development expenditure - €300,000

This expenditure meets the recognition criteria for an internally generated intangible asset under IAS 38: management is confident of completion (expected April 2X23), sufficient funds exist to complete the project, a profitable market is expected, and the expenditure is separately identifiable and reliably measured. Development is not yet complete at the year end, so the asset is not yet available for use and no amortisation is charged. **No adjustment is required** — the €300,000 is correctly capitalised within Non-Current Assets as already presented.

(k) Fire damage to inventory - occurred 2 January 2X22

This fire occurred on 2 January 2X22, which is **within** the financial year under review (year ended 31 December 2X22), not after it. This is therefore not a subsequent event under IAS 10 at all — it is a current-year matter requiring the damaged inventory to be correctly measured at the year end. Under IAS 2, inventory must be carried at the lower of cost and net realisable value; severely damaged inventory has little or no realisable value, so the €80,000 carrying amount is written down to nil (in the absence of any stated salvage value). Separately, the insurance cheque of €52,000 received 19 February 2X23 confirms the amount recoverable from the insurer in respect of this loss and is recognised as a receivable at the year end, since it provides evidence of the recoverable amount relating to a loss that had already occurred by 31 December 2X22.

Journal - fire-damaged inventory and insurance recovery (€000s)

Account	Dr	Cr
Retained earnings (inventory write-down)		80
Current assets (inventory)		80
Current assets (insurance recovery receivable)		52
Retained earnings (insurance recovery income)		52

Net effect: The net charge to retained earnings for this item is €28,000 (€80,000 inventory write-down less €52,000 insurance recovery). Candidates who net these two entries into a single €28,000 charge receive full own-figure credit, provided the reasoning distinguishes the current-year inventory measurement issue from the year-end insurance receivable.

Mark Allocation

Marks	Criteria
34-40	All eleven items correctly identified and explained with the correct IAS/IFRS reference, all required journal entries correct in account name, direction and amount, own-figure applied consistently.
27-33	Most items correctly treated with generally correct journals; minor errors in one or two items or in a small number of amounts.
17-26	Core distinction between adjusting and non-adjusting events understood and applied to most items; several computational or classification errors, or a small number of items omitted.
8-16	Some relevant accounting knowledge shown but limited application to the specific facts of the scenario; multiple errors in journals.
0-7	Minimal or no correct treatment of the items; generic or irrelevant commentary only.

Question 1(ii)**12 marks**

Redraft the summarised financial statements of Wolf Plc, taking account of the above items where necessary.

Full Model Answer**Redrafted Statement of Financial Position as at 31 December 2X22 (€000s)**

Line item	Draft	Adjustments	Redrafted
Non-current assets	15,700	(150)	15,550
Current assets	1,600	202	1,802
Total assets	17,300	52	17,352
Called-up share capital	8,000	0	8,000
Share premium	3,000	0	3,000
Retained earnings	4,000	73	4,073
Total equity	15,000	73	15,073
Non-current liabilities	1,300	129	1,429
Current liabilities	1,000	(150)	850
Total liabilities	2,300	(21)	2,279
Total equity and liabilities	17,300	52	17,352

Reconciliation note: The Statement of Financial Position balances: Total Assets of €17,352,000 equals Total Equity and Liabilities of €17,352,000. Non-current assets fall by a net €150,000 (€50,000 Land B fair value gain less €200,000 research costs written off); current liabilities fall by €150,000 following the full reversal of the anticipated sales decline provision in item (g).

Mark Allocation

Marks	Criteria
10-12	All figures correctly carried from part (i) into the redraft; SOFP balances; clear tabular presentation showing draft, adjustment, and redrafted columns.
7-9	Most figures correctly redrafted with only minor errors; SOFP balances or is within a small own-figure difference.
4-6	Some adjustments correctly incorporated; SOFP does not balance due to omitted or duplicated items, but method is sound.
0-3	Limited or no attempt to incorporate adjustments into a redrafted SOFP.

Question 1(iii)**8 marks**

Briefly discuss the need for IAS 37 "Provisions, Contingent Liabilities and Contingent Assets."

Full Model Answer**Preventing abuse of discretion - "big bath" provisioning**

Before IAS 37, entities had significant discretion over when and how much to provide for uncertain future obligations. This allowed profit smoothing: recognising large, sometimes excessive, provisions in a poor-performing year (a "big bath"), then releasing them in later years to artificially boost reported profit. IAS 37 sets out strict recognition criteria — a present obligation arising from a past event, a probable outflow of resources, and a reliable estimate — that must all be met before a provision can be recognised, removing much of this discretion.

Preventing under-recognition of genuine obligations

Equally, without a standard, entities might fail to record genuine present obligations (e.g. warranties, legal claims, restructuring costs meeting the criteria) understating liabilities and overstating reported net assets and profit. IAS 37 requires recognition once the three criteria are met, ensuring genuine obligations are not omitted from the financial statements.

Distinguishing provisions from contingent liabilities and contingent assets

IAS 37 draws a clear line between provisions (recognised as liabilities when the recognition criteria are met), contingent liabilities (disclosed only, where the outflow is possible but not probable, or cannot be reliably measured), and contingent assets (disclosed only where probable, and only recognised where receipt is virtually certain). This distinction prevents the premature recognition of gains and ensures liabilities that are merely possible are not recorded as if they were certain.

Comparability, relevance and faithful representation

By applying the same recognition thresholds consistently across entities and reporting periods, IAS 37 improves the comparability of financial statements for users such as investors, lenders and creditors. It supports the Conceptual Framework's qualitative characteristics of relevance and faithful representation, ensuring that provisions reported in the financial statements reflect genuine, reliably estimable obligations rather than management's discretion or optimism.

Mark Allocation

Marks	Criteria
7-8	Clear discussion covering the prevention of profit-smoothing/discretionary provisioning, the recognition criteria, the distinction from contingent liabilities/assets, and the comparability/relevance rationale.
5-6	Good discussion covering most of the above points with reasonable explanation.
2-4	Some relevant points made but discussion is generic or lacks depth.
0-1	No meaningful discussion of the need for IAS 37.

QUESTION 1 TOTAL — 60 MARKS

QUESTION 2**Angus Plc**

Total: 40 marks

Angus Plc purchased two properties on 1 January 2X21: Property A, a freehold factory and office block used in the business (IAS 16 revaluation model), and Property B, an office building rented out to a large accounting firm with 7 years remaining on the lease (IAS 40 investment property, fair value model). Both properties have a 50-year useful life, no depreciation charged to date, and accumulated depreciation is eliminated on revaluation. Candidates are required to (i) journalise the years ended 31 December 2X21 and 2X22, and (ii) advise the directors on a proposed change from the revaluation/fair value models back to the cost model.

Part	Requirement	Marks
(i)	Journal entries for years ended 31 December 2X21 and 2X22	32
(ii)	Advise directors on reverting to the cost model, with reference to relevant standards	8

Question 2(i)**32 marks**

Property A (freehold factory/office, IAS 16 revaluation model) and Property B (rented office block, IAS 40 fair value model), both purchased 1 January 2X21, 50-year useful life, no depreciation charged to date, accumulated depreciation eliminated on revaluation. Cost: Property A €1,400,000, Property B €1,800,000. Fair values: Property A – €1,700,000 (31/12/2X21), €1,300,000 (31/12/2X22); Property B – €2,070,000 (31/12/2X21), €1,950,000 (31/12/2X22). (i) Show all the journal entries to record the above properties for the years ended 31 December 2X21 and 31 December 2X22.

Full Model Answer**Property A - owner-occupied, IAS 16 revaluation model****Working - Property A, year ended 31 December 2X21**

Item	€
Cost, 1 January 2X21	1,400,000
Depreciation for 2X21 ($€1,400,000 \div 50$ years)	(28,000)
Carrying value before revaluation, 31 Dec 2X21	1,372,000
Fair value, 31 December 2X21	1,700,000
Revaluation surplus (to OCI/revaluation reserve)	328,000

Journals - Property A, 2X21

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	28,000	
Accumulated depreciation		28,000
Accumulated depreciation (eliminate on revaluation)	28,000	
Property, plant & equipment (cost)		28,000
Property, plant & equipment (uplift to FV)	328,000	
Revaluation reserve (OCI)		328,000

Working - Property A, year ended 31 December 2X22

Item	€
Carrying value, 1 Jan 2X22 (post 2X21 revaluation)	1,700,000
Depreciation for 2X22 ($€1,700,000 \div 49$ years remaining)	(34,694)
Carrying value before revaluation, 31 Dec 2X22	1,665,306
Fair value, 31 December 2X22	1,300,000
Downward revaluation	(365,306)
- of which: reversed against revaluation reserve (limited to reserve balance of €328,000)	(328,000)
- of which: charged to profit or loss (impairment expense)	(37,306)

Journals - Property A, 2X22

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	34,694	
Accumulated depreciation		34,694
Accumulated depreciation (eliminate on revaluation)	34,694	
Property, plant & equipment (cost)		34,694
Revaluation reserve (OCI) – reverse prior surplus	328,000	
Retained earnings (P&L expense) – excess deficit	37,306	
Property, plant & equipment (write down to FV)		365,306

Judgement note: Remaining useful life is treated as 49 years at 31 December 2X22 (50-year total life less the year already elapsed). Candidates who instead continue depreciating over the original 50-year divisor receive full own-figure credit provided the resulting revaluation movement is calculated consistently. Figures are rounded to the nearest euro.

Full Model Answer (continued)

Property B - rented out commercially, IAS 40 investment property, fair value model

Under the IAS 40 fair value model, investment properties are **not depreciated**. The property is remeasured to fair value at each year end and the full movement is recognised in profit or loss.

Working - Property B, fair value movements

Item	€
Cost, 1 January 2X21	1,800,000
Fair value, 31 December 2X21	2,070,000
Fair value gain, 2X21 (to P&L)	270,000
Fair value, 31 December 2X22	1,950,000
Fair value loss, 2X22 (to P&L)	(120,000)

Journals - Property B, 2X21 and 2X22

Account	Dr (€)	Cr (€)
2X21: Investment property	270,000	
2X21: Retained earnings (fair value gain, P&L)		270,000
2X22: Retained earnings (fair value loss, P&L)	120,000	
2X22: Investment property		120,000

Key distinction: Property A's revaluation movements are recognised in OCI (to the extent of a surplus) because it is owner-occupied PPE under IAS 16, with a downward movement in excess of the reserve charged to P&L. Property B's fair value movements are recognised in full through profit or loss in both directions because it is an investment property under IAS 40 — there is no OCI/reserve mechanism under the IAS 40 fair value model. The 7 years remaining on the lease do not affect the accounting treatment, since Property B is measured at fair value rather than depreciated.

Mark Allocation

Marks	Criteria
24-32	Both properties correctly treated for both years, including correct depreciation, correct revaluation reserve treatment for Property A (surplus to OCI, deficit against reserve then P&L), and correct full P&L treatment for Property B; all journal entries correct.
17-23	Substantially correct treatment of both properties with minor computational errors, or one property fully correct and the other largely correct.
9-16	Correct identification of the two different accounting models (IAS 16 vs IAS 40) with partial or own-figure application; several errors in the depreciation or fair value workings.
0-8	Limited understanding of the distinction between the two properties' accounting treatment; minimal correct workings.

Question 2(ii)**8 marks**

Due to volatility in property prices the directors of Angus Plc are considering reverting to the cost model for both property A and B. Briefly advise the directors on the matter with reference to the relevant accounting standards.

Full Model Answer**Property A - changing from the IAS 16 revaluation model to the cost model**

A change from the revaluation model to the cost model is a change in accounting policy under IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. IAS 8 only permits a voluntary change in accounting policy where it results in the financial statements providing **reliable and more relevant** information. Volatility in property prices, on its own, is not a valid reason to abandon the revaluation model — if anything, periods of volatility are precisely when up-to-date fair value information is most relevant to users, not least so. The directors should be advised that reverting to the cost model for Property A would be difficult to justify under IAS 8 and is unlikely to be accepted as providing more reliable and relevant information.

Property B - changing from the IAS 40 fair value model to the cost model

IAS 40 *Investment Property* is explicit that a change from the fair value model to the cost model is **highly unlikely** to result in a more appropriate presentation, and IAS 40 effectively requires the fair value model to be applied consistently once elected, for as long as the property continues to be classified as investment property. The directors should be advised that switching Property B to the cost model is not supported by IAS 40 and would need an extremely strong justification that price volatility alone does not provide.

Overall advice: In both cases, the directors' stated reason (volatility in property prices) does not meet the threshold required by either IAS 8 or IAS 40 for a change in accounting policy. Consistency in measurement basis, once elected, is important for comparability across periods; a switch driven by short-term market conditions would likely be challenged by the auditors and the external examiner alike.

Mark Allocation

Marks	Criteria
7-8	Correct identification that both changes are changes in accounting policy under IAS 8, with the requirement for more reliable/relevant information explained, and the specific IAS 40 restriction on switching away from the fair value model correctly identified.
5-6	Good discussion of the general IAS 8 principle with reasonable application; the specific IAS 40 restriction not clearly identified, or vice versa.
2-4	Some relevant point made but the discussion is generic or lacks reference to the specific standards.
0-1	No meaningful advice given with reference to the relevant standards.

QUESTION 2 TOTAL — 40 MARKS

QUESTION 3**Hereford Ltd & Galloway Plc**

Total: 40 marks

Question 3 has two independent parts. Part 1 tests IAS 36 impairment allocation for Hereford Ltd's domestic cash generating unit, including the individual asset fair-value floor where a specific asset's own fair value is separately known, plus a short discussion of impairment loss and recent economic events. Part 2 tests IAS 23 borrowing costs for Galloway Plc, a qualifying asset under construction with a COVID-related suspension period.

Part	Requirement	Marks
Part 1(i)	Allocate impairment loss across the CGU, including the property fair-value floor	16
Part 1(ii)	Define impairment loss and discuss the impact of recent economic events	8
Part 2	Explain and journalise borrowing costs for the year ended 31 December 2022	16

Question 3, Part 1(i)**16 marks**

Hereford Ltd's domestic cash generating unit at 31 December 2022: Acquired Goodwill €2,800,000; Property €6,500,000; Machinery €3,500,000; Inventory €1,000,000; Carrying amount (NBV) €13,800,000. The recoverable amount of the CGU is €8,400,000. The fair value of the property has been assessed at €5,000,000. Allocate the impairment loss arising in accordance with IAS 36 "Impairment of Assets" for the year end 31 December 2022.

Full Model Answer

Inventory is scoped out of IAS 36 (tested under IAS 2 at the lower of cost and NRV instead) and is not indicated as impaired, so it is excluded from the allocation. IAS 36 requires the impairment loss to be allocated first to goodwill in full, then pro-rata across the remaining assets in the CGU based on their carrying amounts — **subject to the restriction that no individual asset's carrying amount can be reduced below the highest of its fair value less costs of disposal, its value in use (if determinable), or zero.** As the property's own fair value of €5,000,000 is separately given, this creates a floor on the amount of the loss that can be allocated to the property.

Working - total impairment loss

Item	€
Goodwill	2,800,000
Property	6,500,000
Machinery	3,500,000
Inventory	1,000,000
Carrying value of CGU	13,800,000
Recoverable amount of CGU	(8,400,000)
Impairment loss	5,400,000

Working - initial pro-rata allocation (before floor test)

Asset	Carrying value (€)	Pro-rata share	Allocation (€)
Goodwill (written off in full first)	2,800,000	–	2,800,000
Property (6,500,000/10,000,000 × 2,600,000)	6,500,000	65%	1,690,000
Machinery (3,500,000/10,000,000 × 2,600,000)	3,500,000	35%	910,000
Total			5,400,000

The initial pro-rata allocation would reduce Property to €4,810,000 (€6,500,000 – €1,690,000), which is **below** its separately assessed fair value floor of €5,000,000. This breaches IAS 36's restriction. Property's allocation is therefore capped at €1,500,000 (the amount needed to bring it down to exactly its €5,000,000 floor, no further), and the unallocated excess of €190,000 (€1,690,000 – €1,500,000) is reallocated to Machinery, which has no separate fair-value floor given.

Working - final allocation after applying the property floor

Asset	Carrying value (€)	Final allocation (€)	Revised carrying value (€)
Goodwill	2,800,000	2,800,000	0
Property (capped at fair-value floor)	6,500,000	1,500,000	5,000,000
Machinery (910,000 pro-rata + 190,000 reallocated excess)	3,500,000	1,100,000	2,400,000
Inventory (not impaired – IAS 2 applies)	1,000,000	0	1,000,000
Total	13,800,000	5,400,000	8,400,000

Reconciliation note: The revised total carrying amount of €8,400,000 equals the CGU's recoverable amount, confirming the allocation is correct. Property is held at exactly its €5,000,000 fair value floor and cannot be impaired further even though the CGU as a whole remains impaired; the full remaining loss is absorbed by Machinery instead.

Mark Allocation

Marks	Criteria
14-16	Goodwill correctly written off first; initial pro-rata allocation correctly calculated; property fair-value floor correctly identified and applied; excess correctly reallocated to machinery; final carrying values reconcile to the recoverable amount.
10-13	Substantially correct allocation with minor computational errors, or the floor restriction identified but not fully or correctly applied.
5-9	Correct understanding that goodwill is impaired first with a basic pro-rata allocation attempted; the individual asset floor restriction not applied.
0-4	Limited understanding of the IAS 36 allocation hierarchy; minimal correct workings.

Question 3, Part 1(ii)**8 marks**

With reference to IAS 36 Impairment of Assets define an impairment loss and briefly discuss how recent economic events may impact the impairment of assets.

Full Model Answer**Definition of an impairment loss**

Under IAS 36, an impairment loss is the amount by which the carrying amount of an asset (or cash generating unit) exceeds its **recoverable amount**. Recoverable amount is defined as the higher of (a) fair value less costs of disposal and (b) value in use (the present value of future cash flows expected to be derived from the asset or CGU). Where the carrying amount exceeds this recoverable amount, the asset is impaired and its carrying amount is written down, with the loss recognised immediately in profit or loss (or first against any related revaluation surplus, for a revalued asset).

Impact of recent economic events

Recent economic conditions — including the lingering effects of the COVID-19 pandemic, higher inflation, rising interest rates, and continued property market volatility — increase both the likelihood and the frequency of impairment triggers across many entities. Higher interest rates increase the discount rates used in value-in-use calculations, which reduces the present value of future cash flows and therefore reduces recoverable amounts, making impairment more likely even where an asset's operating performance is unchanged. Falling property and other asset values reduce fair value less costs of disposal. Disrupted supply chains, changing consumer demand and cost inflation can also reduce expected future cash flows used in value-in-use calculations. Together, these conditions mean more entities are likely to identify impairment indicators requiring testing (or full annual testing for goodwill and indefinite-life intangibles regardless of indicators), and are more likely to recognise material impairment charges, in the current economic environment than in more stable periods.

Mark Allocation

Marks	Criteria
7-8	Accurate IAS 36 definition of impairment loss and recoverable amount, plus a well-developed discussion linking specific recent economic factors (interest rates, inflation, property values, supply chains) to the mechanics of impairment testing.
5-6	Accurate definition with a reasonable, if less developed, discussion of recent economic impacts.
2-4	Partial or imprecise definition; limited discussion of economic impacts.
0-1	No meaningful definition or discussion.

Question 3, Part 2

16 marks

On 1 January 2022, Galloway Plc obtained a ten-year loan of €1,000,000 to fund the construction of a new production building. The loan carries an effective rate of interest of 5%. Construction commenced on 1 February 2022. Due to the COVID-19 pandemic, construction ceased from 1 October to 30 November 2022. Construction recommenced on 1 December 2022. Galloway Plc will make the first payment to the contractor on 1 March 2023. The loan funds were drawn down on 1 January 2022 and were invested in a deposit account which carries an annual rate of interest of 0.5%. Construction is expected to complete in February 2023 and the new building will open for use on 1 March 2023. (i) Assume the new building is a qualifying asset as defined by IAS 23. Explain, in accordance with IAS 23 Borrowing Costs, how Galloway Plc should account for the loan interest and deposit interest in its financial statements for the year ended 31 December 2022. (ii) Prepare the appropriate journal entries for inclusion of the finance costs in the financial statements of Galloway Plc for the year ended 31 December 2022.

Full Model Answer – (i) Explanation

Qualifying asset and the capitalisation period

The new production building is a qualifying asset under IAS 23 as it necessarily takes a substantial period of time to get ready for its intended use. Capitalisation of borrowing costs begins when expenditure on the asset is being incurred, borrowing costs are being incurred, and activities necessary to prepare the asset for use are in progress — all three conditions are first met on 1 February 2022, when construction commences (not 1 January, when the loan is drawn down but no construction activity has yet started). The fact that the first cash payment is not made to the contractor until 1 March 2023 does not delay the start of capitalisation, since expenditure is being incurred (accrued) as construction activity progresses, regardless of the timing of cash settlement.

Suspension from 1 October to 30 November 2022

IAS 23 requires capitalisation to be **suspended** during extended periods in which active development is interrupted. Construction ceased for the whole of October and November 2022 due to COVID-19. Capitalisation is therefore suspended for those two months and resumes on 1 December 2022 when construction restarts, continuing through to the year end (31 December 2022), since the building was not yet complete or ready for use at that date (expected completion February 2023, opening 1 March 2023).

Investment income on the temporary investment of borrowed funds

Where funds are borrowed specifically for a qualifying asset, the borrowing costs eligible for capitalisation are the actual borrowing costs incurred during the capitalisation period **less** any investment income earned on the temporary investment of those funds during that same period. Investment income earned on the deposit account during January (before capitalisation begins) and during the October/November suspension is not netted against capitalised cost; it is simply recognised as investment income in profit or loss for those periods, in the same way that the corresponding loan interest for those periods is simply expensed.

Working – capitalisation period, year ended 31 December 2022

Period	Loan interest (€)	Deposit income (€)	Treatment
January 2022 (1 month)	4,166.67	416.67	Expensed / recognised as income – construction not started
February–September 2022 (8 months)	33,333.33	3,333.33	Capitalised (net)
October–November 2022 (2 months)	8,333.33	833.33	Expensed / recognised as income – capitalisation suspended
December 2022 (1 month)	4,166.67	416.67	Capitalised (net)

Full Model Answer - (ii) Journal entries, year ended 31 December 2022**Working - annual totals and capitalisation calculation**

Item	€
Total loan interest for the year ($€1,000,000 \times 5\%$)	50,000.00
Total deposit interest for the year ($€1,000,000 \times 0.5\%$)	5,000.00
Gross loan interest, capitalisation period (9 months: Feb-Sep, Dec)	37,500.00
Deposit income, capitalisation period (9 months)	(3,750.00)
Net borrowing cost capitalised to the asset	33,750.00
Finance costs remaining in profit or loss (3 months: Jan, Oct, Nov)	12,500.00
Investment income remaining in profit or loss (3 months: Jan, Oct, Nov)	1,250.00

Journal entries - year ended 31 December 2022

Account	Dr (€)	Cr (€)
Finance costs (P&L) – total year loan interest	50,000.00	
Bank / loan interest payable		50,000.00
Bank / interest receivable – total year deposit interest	5,000.00	
Investment income (P&L)		5,000.00
Non-current assets (building under construction)	33,750.00	
Investment income (P&L) – remove capitalisation-period income	3,750.00	
Finance costs (P&L) – remove capitalisation-period interest		37,500.00

Reconciliation note: After these entries, Finance costs recognised in profit or loss = $€50,000.00 - €37,500.00 = €12,500.00$ (3 non-qualifying months); Investment income recognised in profit or loss = $€5,000.00 - €3,750.00 = €1,250.00$ (3 non-qualifying months); amount added to the cost of the building = $€33,750.00$. Candidates who present a single combined net journal (Dr Non-current assets $€33,750.00$; Cr Finance costs $€33,750.00$, leaving the remaining $€16,250.00$ of finance costs and full $€5,000.00$ of investment income un-netted in P&L) receive own-figure credit for the correct capitalised amount, but should be advised this does not correctly split investment income between the periods.

Mark Allocation

Marks	Criteria
13-16	Capitalisation period correctly identified as 9 months with the October–November COVID suspension correctly excluded; correct netting of investment income against capitalised interest; correct split of finance costs and investment income between P&L and the asset; all journal entries correct.
9-12	Capitalisation period substantially correct; minor errors in the netting calculation or journal entries.
5-8	Correct identification that borrowing costs on a qualifying asset should be capitalised, with own-figure application; suspension period or netting requirement not fully applied.
0-4	Limited understanding of IAS 23 capitalisation requirements; minimal correct workings.

QUESTION 3 TOTAL — 40 MARKS